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GLOBAL DEAL APPROVAL POLICY

PURPOSE & SUMMARY

The purpose of the Global Deal Approval Policy (the “Policy”) is to set out the process for the approval of hotel development and real estate transactions. Projects governed by this policy include new management and franchise agreements, new Hilton Grand Vacation resort projects, real estate transactions, hotel leases and renewals or material modifications of any of those contracts.

APPLICABILITY / SCOPE

The Policy applies to all Hilton team members involved in transactions governed by the Policy and cannot be waived by any team member. The Policy must be reviewed by all such Hilton team members to promote compliance and accountability with the Policy. The Head of Global Feasibility and Investment Analysis is responsible for communicating the Policy to the functional leaders in departments impacted by the Policy.

GOVERNANCE

Oversight rests with the EVP and General Counsel and the EVP and Chief Financial Officer. Please refer questions relating to the interpretation of the Policy to the leader of Global Feasibility & Investment Analysis and the leader of Americas Legal Development, collectively. Any inquiry from APAC or EMEA must copy the Legal lead for such region.

EXCLUSIONS

1. Changes of ownership where the terms of the management or franchise agreement or hotel lease are materially unchanged.
2. Automatic renewals of management agreements that have an underlying franchise agreement in place.
3. Real Estate capital expenditure projects that are approved as part of the annual capex plan, and those covered by the Capital Spending Transaction Matrix within the Hotel Contract Execution and Spending policy (HWI-FIN-146).
4. Transactions subject to the Corporate Spending and Contract Execution Policy (HWI-FIN-106). You may consult HWI-FIN-106 for details regarding contract execution and release of funds. The contract approval form included in the FIN-106 policy does not need to be completed as part of the contract execution process. This is because the Global Deal Approval Process ensures appropriate approvals are in place prior to contract execution. Note that all new management and franchise agreements, any modifications or settlement of contract disputes (material or not) are governed by the Global Deal Approval Policy.
5. Addition of properties being integrated into the HGV system as a result of acquisition or merger.

DEAL AND APPROVAL OVERVIEW

The deal approval process may involve as many as three (3) levels of approval. Level One approval includes the unanimous approval of various functions at Hilton, as detailed below. Once Level One approval is obtained, certain transactions must be referred to the Investment Committee for Level Two approval. In addition, certain transactions must be referred to the Board of Directors for Level Three approval. The table below presents a summary of the process and approval criteria.

Deal Characteristics:	Level One: Decentralized Approval Process	Level Two: Investment Committee	Level Three: Board Approval
Deals with no Investment or Balance Sheet Impact	YES	NO	NO
Outside the “IC Triggers” (noted below in Level Two: Investment Committee)	YES	YES	NO
Investment equal to or less than \$1m (the “Investment Threshold”)	YES	NO	NO
Investment greater than \$1m but less than \$50m	YES	YES	NO
Investment equal to or greater than \$50m (\$100m for incurrence of new debt / \$200m for refinancing of existing debt)	YES	YES	YES

For the purpose of this Policy, “Investment” is defined as an expenditure, divestiture, or financing of corporate funds or other assets, including Brand Funds, related to a development or real estate deal, as well as the forgiveness of amounts in excess of the Investment Threshold due to Hilton. Contingent obligations are included in valuing the level of Investment and the authority limits above.

LEVEL ONE: DECENTRALIZED APPROVAL PROCESS

New Contracts. All new management agreements, franchise agreements, real estate transactions, joint ventures, loans or preferred equity investments and hotel leases require approval prior to execution through the submission of a Development Authority (“DA”). Each DA should document: 1) description of the hotel and its location; 2) key commercial terms; 3) information on the identity of the owner; 4) financial analysis of the deal; and 5) any material departures from standard form agreements, established deal precedent or IC Triggers.

Material Changes (Pre-Contract Execution). If a Material Change to any deal term occurs after a DA is approved, but before an agreement or contract amendment is signed, an updated DA must be re-circulated to the DA signatories highlighting the amended term via email with the original DA attached thereto.

Material Amendments (Post-Contract Execution). Any amendment to one of the agreements described above in the *New Contracts* paragraph that involves a Material Change to such agreement requires submission of a new DA.

Non-Material Changes or Amendments. An amendment to an agreement or a change to a DA that involves only Non-Material Changes does not require a new DA. A notification should be circulated to DA approvers, indicating a time period to register an objection, or the change is deemed approved.

Generally speaking, “**Material Changes**” would affect the economics, the term, or the risk profile of the deal, and “**Non-Material Changes**” would not.

Examples of Material Changes at DA Level One include, but are not limited to:

1. Reductions or subordination of fees
2. Reducing the term of the agreement and/or granting termination rights to the counter-party
3. Termination of an agreement after the opening date other than as a result of an owner’s termination right
4. Waiving payment of royalties and other fees, liquidated damages, or termination fees
5. Changing the management type of the hotel (Managed/Franchised/Leased) unless permitted by the agreement
6. Material changes to PIP requirements (scope/timing)
7. Brand conversions
8. Changes to key money amount, timing, or the terms of repayment
9. Granting to an owner temporary fee relief or a fee deferral for more than twelve (12) months
10. Giving to an owner usage benefits (e.g. free room nights, F&B credits etc.) valuing in excess of \$120,000 (or USD equivalent) per year
11. Permanent or temporary adjustments to room count by more than ten percent (10%) if the hotel has 150 or more guest rooms and by more than twenty percent (20%) if the hotel has less than 150 guest rooms
12. Use of a chain code for a hotel other than the chain code assigned to its brand

Examples of Non-Material Changes at DA Level One include, but are not limited to:

1. Introducing opco/propco boilerplate language which has been amended but otherwise secures a guarantee from the propco to Hilton
2. Extending dates for satisfying conditions precedent and/or construction default dates by less than twenty-four (24) months, unless Hilton is exposed to balance sheet risk (e.g. a live debt guarantee etc.), where this would be a material change.
3. Reductions of FF&E reserve requirements or allowing use of FF&E reserve for non-FF&E investment in the hotel purposes, for less than twenty-four (24) months (in the aggregate)
4. Extending the term of a contract by less than twenty-four (24) months
5. Comp set amendments
6. Change of notice party or address
7. Permanent or temporary adjustments to room count by less than ten percent (10%) if the hotel has 150 or more guest rooms and by less than twenty percent (20%) if the hotel has less than 150 guest rooms

Required Approvals. For a deal to proceed to signing or to the next stage of approval (if required), the DA requires the unanimous approval of the following parties:

Signatory (or approved delegate)	Management Agreement	Franchise Agreement	Real Estate
Project Sponsor – the relevant VP or Director – evidencing commercial endorsement.	YES	YES	YES
VP F&IA – evidencing financial assessment.	YES	YES	YES
Designated Approver in Technical Accounting – evidencing assessment of balance sheet impact and/or other accounting issues ¹ . This function coordinates involvement of corporate tax and other corporate finance functions where appropriate.	If the deal has balance sheet, tax or other accounting impacts ¹	If the deal has balance sheet, tax, or other accounting impacts ¹	YES
SVP Operations Finance – evidencing accurate documentation of financial due diligence in DA.	YES	YES, other than in the Americas	YES
Area VP Operations (or SVP where appropriate) – evidencing operational fit.	YES	YES, other than in the Americas	YES
Legal Counsel – evidencing description of material departures.	YES	YES	YES
Brand Head – evidencing endorsement of Brand deployment.	YES	YES	YES
Area SVP Development or Real Estate – evidencing commercial endorsement.	YES	YES	YES
Area VP Design and Construction – evidencing endorsement of physical plans.	YES	YES	If the deal involves Capex
GBL Head Residential Programs – evidencing endorsement of condo and branded residence development. ²	As Applicable	As Applicable	NO
President Global Development – where there is (i) key money or balance sheet impact but the amount is less than the Investment Threshold, or (ii) a Restraint on Trade as required by item (trigger i) below.	As Applicable	As Applicable	NO
EVP & Chief Brand Officer – where there is a Restraint on Trade as required by item (trigger i) below.	As Applicable	As Applicable	NO

¹ Other accounting issues requiring approval include:

- A. Fee concessions, refunds or deferrals for existing agreements that are: a) in an amount of US\$500,000 or more and are for a term that is more than 12 months; and b) in an amount of US\$1,000,000 or more regardless of term. When determining the amount of the fee concession, refund or deferral, such amount shall be aggregated across an ownership group.
- B. For Management Agreements, removal or significant limitation of customary owner rights to approve the (i) operating and capital budgets or (ii) appointment of the General Manager
- C. Management Agreements with a “Stand-aside” provision

² For condo-hotel deals in Brazil (without private residences), approval of GBL Head Residential Programs is not required. {000011-999983 00291207.DOCX; 1}

LEVEL TWO: INVESTMENT COMMITTEE

1. Initial Investment Committee Approval. Deals requiring Investment Committee approval must include documentation of Level One approvals as part of the submission. Investment Committee approval is required prior to executing a management or franchise agreement or amendment thereto that contains the following terms or under the following circumstances:

- a) Balance Sheet Impact.** Key Money, Loans, equity investments, guarantees, credit enhancements, hotel leases or any other financial transaction that would have a negative impact to Hilton's balance sheet in excess of the Investment Threshold, as determined by Technical Accounting.³
- b) Finder's Fee.** Payment of finder's fees, other than those paid by Hilton to team members as part of a company sponsored referral bonus program.
- c) Amendments to Existing Contracts.** Amendments to existing contracts that increase Hilton's existing financial obligations to an owner or that reduce the NPV of a transaction by more than the Investment Threshold, as determined by F&IA.
- d) Multi-Site Development Agreements.** Development deals that provide for decreased fees in return for the development of multiple hotels (however memorialized, including in the form of a Strategic Development Agreement, Binding Letter of Intent or Binding Memorandum of Understanding).
- e) Operating Terms.** Operating terms or owner termination rights for hotels that would result in a possible total term of less than ten (10) years (excluding an assumed failure of a performance test and default events). In the case of a management agreement, approval is not required if the management agreement is: 1) backed up by a franchise agreement of ten (10) or more years; or 2) a termination on sale or other early termination event includes a payment that equates to ten (10) or more years of fees (including the fees earned during the term of actual operation pre termination).
- f) Chain Acquisition Rule.** Any transaction that amends the then-current legal form of management and franchise agreement to deny Hilton's right to complete a chain acquisition.⁴
- g) Multi-Brand Restraints on Trade.** AOPs for more than one (1) brand.
- h) Restraint on Trade – Term.** AOPs for longer than ten (10) years from the date of contract execution.
- i) Restraint on Trade – Area.** For Full Service Hotels, AOPs with a radius greater than 15 km (10 mi). AOPs with a radius greater than 10km (6 mi) but less than 15km (10 mi) requires the President of Global Development's approval. For Focused Service Hotels, AOPs with a radius

³ Balance sheet transactions below the Investment Threshold that are approved at Level One will be presented as an informational item (as part of the summary deal memorandum) for the next IC meeting.

⁴ IC approval is not required in order to agree that Hilton will not convert an acquired hotel to a restricted brand following a chain acquisition.

greater than 10 km (6 mi). AOPs with a radius greater than 5km (3 mi) but less than 10km require the President of Global Development's approval.

In specific situations where the radial distances cited above are inappropriate due to irregular geography, high density urban market, low density sub-urban market, etc., create a well-defined submarket suitable to the local market. This requires approval from the President of Global Development and the EVP & Chief Brand Officer. In the absence of such approval, the Investment Committee must approve the AOP.⁵

j) Restraint on Trade – Combined with Termination on Sale or other Early Termination without Cause Provision. Transactions that permit an owner to terminate a contract upon sale while the AOP is in effect or otherwise terminate the contract without cause while the AOP is in effect.

k) Impact. Market development that may result in material impact on either: (i) owned, leased, JV or managed hotels; or (ii) a franchised hotel of the same brand when an existing owner objects to development. Material impact is a severe and sustained adverse effect on an existing hotels' operating performance (i.e., occupancy and/ or ADR)

l) Condominium/Strata Title Projects. Branded residential and condominium sales where Hilton does not earn a royalty or license fee on condominium unit sales and/or where the deal documentation is not materially consistent with Hilton's prevailing suite of pro-forma Condominium Agreements.⁶

m) Intellectual Property/GSB/Program Fee/Hotel Specific Services. Transactions that would amend the form language (not specific percentage rates) in management and franchise agreements relating to IP, GSB, Program fee or HSS.

n) Base Management Fee/Franchise Royalty Subordination or Stand-aside. The subordination or stand-aside of base management fees or franchise royalties (e.g. to financing, debt service, finance test, etc.) or charging zero fees.

o) Incentive Management Fee Stand-Aside (non-US/CAN deals). IMF stand-aside that lasts more than one third of the initial term of the Management Agreement. Additionally, any stand-aside (regardless of length) with an average projected coverage ratio is below 1.5x must be referred to the Investment Committee, unless the stood-aside fees are repayable to Hilton.

p) Gross Up for Withholding Taxes. Shifting the responsibility of owner to gross up for withholding taxes on GSB and/or other system charges (e.g., Program Fee, reservation charges etc.).

⁵ DA Level One approval of President Global Development and EVP & Chief Brand Officer not required for IC deals (since those officers will vote at IC).

⁶ Condo-hotel deals in Brazil (without private residences) are exempt from the IC trigger described in item (l).
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q) Management Agreements Without Non-Disturbance Agreements (“NDA”). The absence of an NDA or an “other appropriate security structure”⁷ for a Management Agreement⁸, subject to the following exceptions:

- (i) No Balance Sheet Impact + No NDA Country. Where there is no Balance Sheet Impact and the hotel is located in either (a) a “No NDA Matrix Country” or (b) an “NDA Not Possible Country”, the Management Agreement is exempt from this Level Two trigger.⁹
- (ii) Underlying Franchise Agreement. Where there is no Balance Sheet Impact and the Management Agreement has an underlying Franchise Agreement, the Management Agreement is exempt from this Level Two trigger.

In all cases, the Level One DA must document whether or not an NDA is to be obtained.

r) Loan to Value Debt Ratios. If a transaction has Balance Sheet Impact or Key Money, the Loan to Value Debt Ratio must be capped at eighty percent (80%) and reflected in deal documentation.

s) Waiver of Fees, Liquidated Damages or Termination Fees. Written waivers of royalties, management fees, damages, termination fees or the repayment of key money in an amount greater than the Investment Threshold. An exception (which requires Level One approval plus the approval of Global Head of Development) is a written waiver of damages to which Hilton may be entitled where Hilton chooses to terminate an agreement prior to opening to allow for good-faith pursuit of a replacement project.

t) Voluntary Termination of Management Agreement. Voluntary termination of a management agreement for an open hotel, other than (i) where Hilton is terminating due to a material default by owner, (ii) where the owner has a then-exercisable contractual right to terminate (such as a right to terminate on-sale or at-will), or (iii) where the contract is replaced by a franchise agreement with a royalty fee structure that exceeds management fees the company would expect to receive over the remaining term of the management agreement.

u) Level One less than unanimous approval. Transactions that do not have unanimous Level One approval.

All transactions must receive Level One approval prior to submission to the Investment Committee. Deals with financial impact (other than routine key money deals) must address the US GAAP accounting impact within the Investment Committee memo, as provided by Technical Accounting.

⁷ An “other appropriate security structure” is any alternate security structure approved by the SVP Development and VP Operations Finance at Level One.

⁸ For new-build deals that do not yet have financing, it is understood that an NDA will not be in place at signing; in this case, the MA must provide that Hilton is entitled to an NDA (subject to the stated exceptions).

⁹ A “No NDA Matrix Country” is a country where Legal has received advice that the concept of an NDA (or equivalent) does not exist or does not substantively work at law. A “NDA Not Possible Country” is a country where it is market practice that most local lenders do not furnish NDAs. Lists of “No NDA Matrix Countries” and “NDA Not Possible Countries” shall be approved and updated by the VP or SVP Legal/SVP Development/VP Operations Finance from time to time (annually at minimum).

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2. Resubmittal of Approved Deals.

Once IC has approved a matter, re-approval is required if there is a material change to: (i) any item set forth above that triggered the initial requirement for IC approval; and /or (ii) any deal terms previously presented to the IC, even if the term changed would not have independently triggered IC approval (“**Re-approval Triggers**”). In this case, an updated and approved DA Level 1 should be attached to the IC paper.

Once all of the following conditions are true with respect to a deal that initially required IC approval, the approval level for material changes to the terms of such deal will be assessed on the basis of whether those changes independently trigger IC approval and will cease to be governed by this Resubmittal section: (i) the hotel has opened under the brand, (ii) all key money from the original deal has been delivered, (iii) any original balance sheet liability for Hilton (such as a Hilton mezzanine loan or Hilton guaranty) has been extinguished, and (iv) any PIP contemplated by the original transaction is substantially complete.

Examples of Re-approval Triggers include, but are not limited to:

1. Changes to the amount of key money offered, the timing for payment, the conditions for funding or changes to the previously approved security required for funding
2. Modification to standard or previous deal parameters relating to management, royalty, GSB or program fees, including: a) waiving the base fee in franchise/managed hotel combos; b) waiving the base fee in favor of an incentive fee; or c) compromising the standard program fee or GSB fee
3. Modifications to the previously approved performance test formulation that are materially adverse to Hilton
4. Granting additional or changing existing owner termination rights
5. Material changes to previously approved AOP provisions
6. Any other changes to the deal parameters that may have a material economic impact that were not disclosed to the Investment Committee or are unprecedented contract concessions

Examples of items that are not Re-approval Triggers include, but are not limited to:

1. Changes impacting key money (including the amount of key money being given) when the total amount of key money is less than the Investment Threshold
2. Temporary fee relief less than 24 months and below the Investment Threshold
3. Reducing FF&E reserves
4. Routine changes to the competitive set
5. Other standard or routine changes to the form management or franchise agreement

3. Corporate Transactions. The following corporate transactions must be approved by the IC:

- a) **Hilton Grand Vacations.** New development with HGV.
- b) **Real Estate Transactions.** All real estate transactions, including entering into Joint Venture Agreements.

LEVEL THREE: BOARD APPROVAL

Deals with investments that exceed \$50 million (\$100 million for incurrence of new debt/\$200 million for refinancing of existing debt) must be presented to Hilton's Board of Directors for approval following approval by the Investment Committee.

DOCUMENT RETENTION

The function requesting IC approval assumes responsibility for the preparation and retention of all approval documentation. Retain all documentation in accordance with the applicable Records Management policy and in the relevant repository.